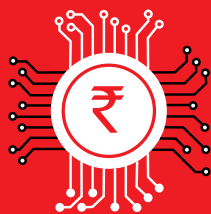


following its investments in Freshworks, a cloud-based helpdesk and automation solutions provider. But, creating a robust thesis around a segment took a lot of doing.

For instance, Shekhar Kirani—who led the investment for Accel—first met the Co-founders, Girish Mathrubootham and Shan Krishnasamy of what was then called Freshdesk, in a small home-turned-office in a nondescript Chennai suburb. Following a number of such meetings, the fund led a \$1-million seed round in 2001 as the first investor in the company, and participated in or led every subsequent round since then until its listing on the Nasdaq a decade later in September 2021. But the journey from seed round to a successful IPO was an arduous one for Accel, and especially for the partner leading the investment.

Since their first meeting, Kirani used to frequently take an early morning flight from Bengaluru to Chennai to catch up with Mathrubootham, and his team during their early days. His day would start with an 8:30 am breakfast meeting with a start-up founder that Accel was considering investing in, and then Kirani would head off to Freshworks. There he would spend a long day brainstorming and evaluating ideas with Mathrubootham and his team.

For a long time during those early-morning working breakfasts, Krish Subramanian and Rajaraman Santhanam, Co-founders of a SaaS platform—that automated operations such as billing, invoicing and payments for subscription-based businesses—called Chargebee were on the other end of his breakfast table to discuss how their nascent product was developing. During one of these meetings, Santhanam told Kirani that one day he would come to Chennai just to meet them, and they'd have vacated the breakfast slot for some other budding entrepreneur. After many such breakfast



CATEGORY DEFINING INVESTMENTS

FLIPKART

- ♦ E-commerce
- ♦ 2009

FRESHWORKS

- ♦ SaaS
- ♦ 2011

BOOKMYSHOW

- ♦ Online ticketing
- ♦ 2012

SWIGGY

- ♦ Food delivery
- ♦ 2015

URBAN COMPANY

- ♦ Home services
- ♦ 2015

MOGLIX

- ♦ B2B industrial goods marketplace
- ♦ 2015

BLACKBUCK

- ♦ Online trucking marketplace
- ♦ 2015

ACKO

- ♦ Digital Insurance
- ♦ 2016

CULT.FIT

- ♦ Health and fitness
- ♦ 2016

MENSA BRANDS

- ♦ E-commerce roll-up
- ♦ 2021

♦ CATEGORY ♦ YEAR OF
FIRST INVESTMENT
SOURCE: ACCEL

meetings and several cups of filter coffee later, Accel invested seed capital of \$800,000 in Chargebee in 2013. The company was valued at \$3.5 billion in its latest round concluded in February 2022.

Since Accel's investments in Freshworks and Chargebee, SaaS and the larger enterprise software segment has become a leading thesis at the fund where it has found much success. Partners at the VC fund say that their mantra of investing in interesting and novel ideas has been crucial to their success.

"At Accel, the way it works is that each partner picks up areas that they think are interesting, works on it, builds a thesis around it over a period of time, and invests in areas where a lot of interesting companies are emerging. I think about 50-60 per cent of our companies get invested in this manner. The remaining are areas that we have not even thought about, but a founder comes in with an interesting idea," says Prayank Swaroop, another Partner at Accel who focusses on consumer, B2B and the Cloud/SaaS segments.

A PURELY SECTOR agnostic fund, Accel has invested across a wide range of sectors including e-commerce, travel tech, insure tech, SaaS, B2B marketplaces, logistics, crypto, Web 3.0, foodtech, health tech, edtech, D2C, and e-commerce, among others. While the fund's partners develop a thesis around a sector following discovery of a promising company, they approach some segments with an established thesis even before their first investment. One such segment is logistics, where the fund has invested in trucking network BlackBuck, a company that leverages technology to bring offline trucking operations to its online platform to